

INTRODUCTION

“Is asset allocation dead?”

“Has the past decade changed the way I should invest?”

“Can I trust the markets to meet my financial needs?”

The short answers are no, perhaps, and yes.

The first decade in the new millennium was a challenge for all investors. Unprecedented shocks caused extremes in market volatility over the period. The decade began with the deflation of technology and communication stock expectations, followed by two attacks on U.S. soil that led to two wars fought halfway around the world, and finished with a housing price collapse that brought too-big-to-fail global financial institutions to their knees and massive government bailouts.

The events of the past decade have shaken the foundations of investment knowledge and have forced people to rethink their own investment strategies from the ground up. People are questioning the validity of modern portfolio theory (MPT) that had become well indoctrinated into portfolios. Do the markets still operate efficiently? Is a buy and hold investment strategy dead? How does a radical shift in the global economic power affect my portfolio? Is the U.S. dollar in a long-term decline? What new asset classes are available, and should I invest in them? These questions are all valid, and they all deserve answers.

In your quest for information and solutions, you will find no shortage of people willing to help with answers—any answers—even bad answers, and there will be people trying to sell you products that go along with their answers. If it isn't one person pushing you into gold or commodity investments, it's another saying you should invest in the Chinese real estate market. Everyone selling a product has an answer to volatility in the first decade, and most are selling products that you'd best avoid.

Deep down, I believe that everyone knows that the future is unknowable, which means that you cannot pick one sector or one investment and count on it for financial security. But this does not stop us from wishing we did know, and this is why people pay good money for the